

Risk Review

By: B
Date: 3-12-13

Approved as to
form only:

M.H. [Signature]
Date: 3-5-13

CONTRACT BETWEEN THE CITY OF CHEYENNE AND RBC GLOBAL ASSET MANAGEMENT (U.S.) INC.

This contract is entered into by and between the City of Cheyenne, a municipality duly organized and existing under the laws of the State of Wyoming, whose address is 2101 O'Neil Avenue, Cheyenne, Wyoming 82001, (hereafter, "City"), and RBC Global Asset Management (U.S.) Inc., whose address is 100 South Fifth Street, Suite 2300, Minneapolis, Minnesota 55402-1240, (hereafter, "Advisor" and such contract, the "Contract"). This Contract amends and restates in its entirety the prior contract between the City and the Advisor's predecessor firm, Voyager Asset Management LLC, effective April 1, 2000 (hereafter, the "Prior Contract").

1. **Purpose of Contract.** The purpose of this Contract is to amend and restate the Prior Contract and to authorize the City to maintain an investment account (the "Account") with the Advisor and authorizes the Advisor to act as its agent in the management of all assets from time to time held in the Account (the "Assets"), as previously authorized in the Prior Contract. The City hereby appoints the Advisor as its investment advisor with respect to the Assets, and delegates to the Advisor the authority to manage, acquire and dispose of the Assets.
2. **Term.** This Contract is effective when all parties have executed it and all approvals have been granted. The term of this Contract shall be through June 30, 2015, with the fees set forth in Appendix B being retroactive to January 1, 2013. By mutual agreement, this Contract may be extended for two (2) additional one (1) year periods.
3. **Payment.** The City shall pay to the Advisor, as full compensation for services rendered under this Agreement, a fee based on the value of the Assets, computed in accordance with Section 4. This annual fee is set forth in Appendix B and shall be paid on a quarterly basis in advance. For the purpose of calculating such fee with respect to any calendar quarter, the value of the Assets shall be determined as of each Appraisal Date for the completed prior calendar quarter. If the Account is terminated during a calendar quarter, the fee will be prorated based on the period of time during the quarter that the Account was open and any unused portion of any fees paid in advance shall be returned to the City. The Advisor shall not be responsible for, and shall be reimbursed by the City for, any and all custodial fees, and for all other reasonable out-of-pocket costs and expenses incurred by the Advisor related to its performance under this Agreement. The fees and expenses due to the Advisor under this Section 3 shall be payable within fifteen (15) days after the City's receipt of the appraisal referred to in Section 4 and the Advisor's statement of the amount of fees and expenses due, but if not so paid shall be a lien upon and payable from the Assets.
4. **Appraisal of Account.** The Advisor shall provide the City with an appraisal of the Account, summarizing the Assets, including cash and accrued income for individual securities or

net asset value for any funds, as of the last day of each calendar quarter on which the bond markets are open for trading (the "Appraisal Date"). To the extent possible, each security shall be valued on the Appraisal Date at the last traded price for such security. Other sources used for fixed income securities pricing shall include vendor-based evaluations, dollar price quotes from broker-dealers for identical securities, quoted prices for similar assets, prices calculated using observable inputs, index providers, proprietary pricing software, and matrix pricing. Trades which have not been settled as of the Appraisal Date and any other Assets shall be valued at fair value as determined in good faith by the Advisor. In making valuation determinations, the City understands and acknowledges that the Advisor may rely on the services of a third-party pricing service. Notwithstanding anything to the contrary herein, valuation determinations shall be made using the Advisor's own valuation methodology, unless otherwise agreed to in writing.

5. **City's Responsibilities.** The City shall:

- i. Advise the Advisor in writing of the investment objectives of the Account and any investment restrictions applicable to the Account, and of any changes in such objectives or restrictions. The initial written statement of investment policy, which shall be attached hereto as Appendix A, shall have the effect of limiting the investments the Advisor is authorized to make for the Account and shall be binding upon the Advisor. This written statement of investment policy may be modified by the City at any time. The City shall communicate any such changes to the Advisor in writing at least ten business days before the date on which they shall become effective.
- ii. The City may at any time add Assets to or remove them from the Account; provided that certain lead time may be necessary between the time of the City's notice to the Advisor of the City's intent to transfer Assets from the Account and the subsequent removal of such Assets to allow for any necessary valuation by the Advisor of Assets to be transferred from the Account; and provided further that in no event shall such necessary lead time exceed a reasonable valuation period from the time the Advisor receives notice of the City's intent to transfer assets from the Account.

6. **Authority of Advisor.** The Advisor shall have full and complete discretion to direct and manage the investment and reinvestment of the Assets, including the purchase, sale, exchange, conversion or other transactions in any and all securities (including, without limitation, bonds, debentures, notes, certificates of deposit, time deposits, banker's acceptances, repurchase agreements and mutual funds) with one or more broker/dealers which the Advisor shall select. Notwithstanding the foregoing, the Advisor shall not engage in short sales or margin transactions, without the prior written approval of the City.

7. **Representations and Warranties of the City.**

- i. The City represents and warrants to the Advisor that the City has the requisite legal capacity and authority to execute, deliver and perform its obligations under this Agreement.
- ii. The City represents and warrants to the Advisor that this Agreement has been duly authorized, executed and delivered by the City and is the legal, valid and binding agreement of the City, enforceable against the City in accordance with its terms.
- iii. The City's execution of this Agreement and the performance of its obligations under this Agreement do not conflict with or violate any provisions of any governing documents of the City, any applicable state or federal law, or any obligations by which the City is bound, whether by contract, operation of law or otherwise.

8. **Special Provisions.**

- i. Custody of Securities/Transaction Procedures. The Advisor shall not act as custodian for the Account and shall not take possession of any Assets. The City shall maintain or establish, in the City's name, an account with a broker/dealer, bank or trust company in which the City shall maintain or deposit the Assets. The broker/dealer, bank or trust company selected by the City shall be the custodian of the Assets. The City will cause the custodian to take all necessary steps to settle purchases, sales and trades made by the Advisor, including delivery of certificated securities, payments of funds and such other acts as may be necessary to fulfill such custodial responsibilities. The Advisor shall give notice and directions with respect to transactions in a manner that shall be agreed upon with the custodian. The Advisor shall not be responsible for any loss caused by any act or omission of the custodian. The City shall execute any and all documents that the Advisor may from time to time transmit to the City for the purpose of confirming securities transactions of the Account. The Advisor shall not be responsible for any corporate actions relating to the securities in the Account, including administrative filings, such as proofs of claims or claims in class actions.
- ii. Allocation of Brokerage. The Advisor may allocate portfolio transactions for the Account to one or more broker/dealers, which the Advisor shall select, for execution on such markets, at such prices and at such commission rates as in the Advisor's good faith judgment will be in the Account's best interest. In so doing, the Advisor will consider not only available prices and commission rates, but also other relevant factors such as, without limitation, execution capabilities, research and other services

provided by such broker/dealers which are expected to enhance the Advisor's general portfolio management capabilities, the value of an ongoing relationship of the Advisor with such broker/dealers, and the full range and quality of such broker/dealers' services, without having to demonstrate that any of the foregoing factors are of direct benefit to the Account. The Advisor shall not be responsible for any loss caused by any act or omission of any broker/dealer; provided, however, that with respect to those broker/dealers that have been selected by the Advisor, the Advisor has acted prudently in the selection of such broker/dealers.

- iii. Reports. The Advisor will send the City monthly reports regarding the Assets, including a summary of transactions executed and the valuation of the Assets. The City shall provide to the Advisor or cause to be provided to the Advisor such information and reports relating to the Account and the services to be provided by the Advisor under this Agreement as the Advisor may reasonably request. The Advisor is not responsible for the accuracy of such information and reports. The records provided by the City, the City's custodian or other third parties shall be the official records of the Account. The City is urged to compare statements provided by the custodian of the Account with reports provided by the Advisor.
- iv. Confidentiality. All information and advice furnished by the Advisor to the City under this Agreement shall be confidential and shall not be disclosed to third parties, except as required by law. All information furnished by the City to the Advisor under this Agreement shall be confidential and shall not be disclosed to any unaffiliated third party, except as permitted or required by law, where it is necessary to effect transactions or provide other services to the City, or where the City requests or authorizes the Advisor to do so. Further, in receiving holdings data, the City agrees that the data is not being obtained in order to affect securities transactions based upon such information or to provide such information to another party.
- v. Representation by the Advisor/Standard of Care. The Advisor hereby represents and warrants that it is registered as an investment adviser under the Investment Advisers Act of 1940 (the "Advisers Act"), and shall take all actions necessary to remain duly registered under the Advisers Act. The Advisor undertakes to perform only those duties that are specifically set forth in this Agreement. Except for bad faith, intentional misconduct, negligence, or violation of any federal, state, or local law or professional standard of care in regard to the Advisor's performance of its duties under this Agreement, neither the Advisor nor any of its directors, officers, employees or agents shall be liable for any acts or omissions or for any loss suffered by the Account. The Advisor and its directors, officers, employees and agents shall be entitled to rely, and shall be protected from liability in relying, upon any

information or instructions furnished to it (or any of them as individuals) which is believed in good faith to be accurate and reliable. The City understands and acknowledges that the Advisor does not warrant any rate of return, market value or performance of any assets in the Account. The federal securities laws impose liabilities under certain circumstances on persons who act in good faith and, therefore, nothing herein shall constitute a waiver of any right which the City may have under those laws.

- vi. Receipt by the City of Part 2 of Form ADV. The City acknowledges receipt of the Advisor's Form ADV, Parts 2A and 2B.
- vii. Services for Other Clients. The City acknowledges that the Advisor provides investment advisory services for other clients. The City agrees that the Advisor may give advice or take action with respect to any of its other clients which may differ from advice given, or the timing or nature of action taken, with respect to the Account, so long as it is the Advisor's policy, to the extent practical, to allocate investment opportunities to the Account over a period of time on a fair and equitable basis relative to other clients. The Advisor shall have no obligation to purchase or sell for the Account any security which the Advisor, its directors, officers, employees or agents may purchase or sell for their own accounts or for the account of any other client, if in the Advisor's opinion such transaction appears unsuitable, impractical or undesirable for the Account.

9. **Insurance.** The Advisor shall provide the City with proof of the following insurance coverages:

Professional Liability Insurance

- i. The Advisor shall provide proof of professional liability insurance or errors and omissions liability insurance in an amount not less than \$1,000,000 to protect the City from claims arising from the Advisor's negligence in the performance of duties under this Agreement.
- ii. If this coverage is provided pursuant to a "claims made" policy:
 - a. the Advisor shall, concurrently with the execution of this Agreement, provide the City with a certificate of insurance demonstrating that such coverage is or shall be in effect at the time the Advisor begins the provision of services under this Agreement; and

- b. In the event the Advisor's services extend into a future policy period, the Advisor shall reasonably attempt to, prior to the policy expiration date, provide the City with a new certificate of insurance demonstrating that such coverage is or shall be in effect during all periods of time that the Advisor will provide services under this Agreement, as long as the insurance is commercially available; and
- c. For the protection of the City, the Advisor will maintain for the life of the Contract, plus two years thereafter, a professional errors and omissions liability insurance policy.

10. **General Provisions.**

- i. Amendments. Any changes, modifications, revisions or amendments to this Contract which are mutually agreed upon by the parties to this Contract shall be incorporated by written instrument, executed and signed by all parties to this Contract.
- ii. Applicable Law. The construction, interpretation and enforcement of this Contract shall be governed by the laws of the State of Wyoming. The courts of the State of Wyoming shall have jurisdiction over this Contract and the parties, and the venue shall be in the First Judicial District, Laramie County, Wyoming.
- iii. Compliance with Laws. The Advisor shall comply with all applicable federal, state and local laws and regulations in the performance of this Contract.
- iv. Entirety of Contract. This Contract, including Appendix A and Appendix B, represent the entire and integrated Contract between the parties and supersedes all prior negotiations, representations and agreements, whether written or oral, including the Prior Contract.
- v. Indemnification. The Advisor agrees to release, indemnify, defend and hold harmless the City and its officers, agents, employees, successors and assigns from any and all causes of action, claims, demands, liabilities, penalties, forfeitures and suits, and the costs and expenses incident thereto, including reasonable attorney's fees, in any manner arising out of the Advisor's failure to meet the standard of care set forth above in Section 8.v. in its performance under this Contract, except to the extent such causes of action, claims, demands, liabilities, penalties, forfeitures and suits are directly attributable to the gross negligence or willful misconduct of the City.
- vi. Independent Contractor. The Advisor shall function as an independent contractor for the purposes of this Contract. The Advisor shall assume sole responsibility for any

debts or liabilities that may be incurred by the Advisor in fulfilling the terms of this Contract. Nothing in this Contract shall be interpreted as authorizing the Advisor or its agents or employees to act as an agent or representative of or on behalf of the City or to incur any obligation of any kind on the behalf of the City.

- vii. Notice. Any notice, correspondence or billing required to be given by the terms of this Agreement shall be delivered by hand, or delivered by mail, postage prepaid, to the addresses of the respective parties stated above.
- viii. Nondiscrimination. The Advisor shall comply with the Civil Rights Act of 1964, the Wyoming Fair Employment practices Act, Wyo. Stat. §27-9-105 et seq., and the Americans with Disabilities Act (ADA), 42 U.S.C. § 12101, et. seq. The Advisor shall assure that no person is discriminated against based on the grounds of age, race, sex, creed, color, national origin, ancestry, qualified disability, or pregnancy in connection with the performance of this Agreement.
- ix. Prior Approval. This Contract shall not be binding upon either party, no services shall be performed under the terms of this Contract nor shall payment be made until this Contract has been approved by all necessary authorities.
- x. Governmental Immunity. The City of Cheyenne specifically retains all immunities and defenses available to it as a governmental entity pursuant to the Wyoming Governmental Claims Act, Wyo. Stat. § 1-39-101 et seq., and all other applicable laws. Designation of venue, choice of law, enforcement action, and similar provisions should not be construed as a waiver of governmental immunity.
- xi. Termination. Either party may terminate this Contract without cause upon thirty (30) days written notice to the other party. Either party may terminate this Contract immediately with cause.
- xii. Default. Each and every term and condition herein shall be deemed a material element of the Agreement. In the event either party shall fail or refuse to perform according to the terms of this Agreement, such party may be declared in default.
- xiii. Remedies.
 - a. In the event a party declares the other party in default hereof, said party declaring default shall notify the defaulting party in writing and such defaulting party shall be allowed a period of fifteen (15) days to cure said default. In the event that the default remains uncorrected, the party not in default may elect to: (a) terminate the

Agreement and seek damages; (b) treat the Agreement as continuing and require specific performance; or (c) avail itself of any other remedy at law or equity.

b. In the event the Advisor fails to strictly perform in accordance with this Agreement, the City may elect to make good such deficiencies and charge the Advisor therefore.

- xiv. Waiver. The waiver by either party of any term, condition or covenant, or breach of any term, condition or covenant, shall not constitute a waiver of any other term, condition or covenant, or breach thereof.
 - xv. Severability: If any provision, section, subsection, sentence, clause, or phrase of this Agreement is invalidated by any court of competent jurisdiction, such holding shall not affect the validity of the remainder of this Agreement, which shall continue in full force and effect.
 - xvi. Successors and Assigns. All the terms, conditions, and provisions herein shall inure to the benefit of and be binding upon the parties hereto and their respective successors and assigns.
 - xvii. Assignment. Neither party shall assign this Agreement without prior written consent of both parties. Any delegation or assignment shall not operate to relieve either party of its responsibilities hereunder.
 - xviii. Third Party Rights. The Parties do not intend to create in any other individual or entity the status of third party beneficiary, and this Agreement shall not be construed so as to create such status. The rights, duties and obligations contained in this Agreement shall operate only between the parties to this Agreement, and shall inure solely to the benefit of the parties to this Agreement. The parties to this Agreement intend and expressly agree that only the parties signatory to this Agreement shall have any legal or equitable right to seek to enforce this Agreement, to seek any remedy arising out of a party's performance or failure to perform any term or condition of this Agreement, or to bring action for breach of this Agreement. This paragraph is not intended nor shall it be construed to waive any of the parties' immunities.
11. Signatures. In witness thereof, the parties to this Contract, through their duly authorized representatives, have executed this Contract on the days and dates set out below and certify that they have read, understood and agreed to the terms and conditions of this Contract.

This Contract may be executed in multiple counterparts, each of which shall be an original and all of which, when taken together, shall constitute one and the same Contract.

The Contract date is the date of the last signature affixed to this page.

CITY OF CHEYENNE

Date: _____

By: _____

Richard L. Kaysen, Mayor

(SEAL)

Attest:

RBC GLOBAL ASSET MANAGEMENT (U.S.) INC.

Date: _____

By: _____

Title: _____

Attest:

APPENDIX A

Current Investment Policy

CITY OF CHEYENNE, WYOMING

STATEMENT OF INVESTMENT POLICY

Originally adopted: August 9, 1999

Revised: May 25, 2001

Revised: January 28, 2002

Revised: August 27, 2007

Revised: November 13, 2012

1.0 GENERAL

This Statement of Investment Policy is adopted pursuant to the requirements of Wyoming State Statutes 9-4-831(h), as amended. It is the policy of the City of Cheyenne to invest public funds in a manner which will provide a reasonable rate of return while assuring the maximum security of principal, meeting the operational cash flow demands of the City of Cheyenne, and conforming to all federal, state and local laws and regulations governing the investment of public funds. This Policy will apply only to long-term asset investment of City assets. The City will continue to use the State of Wyoming Local Investment Pool (WyoStar) as a primary means of short-term investment management. The Committee may, at its discretion, use other qualified short-term investment management vehicles or programs.

2.0 SCOPE

This Investment Policy applies to all long-term financial assets of the City of Cheyenne. These funds are accounted for in the City's Government-Wide Financial Statements.

3.0 PRUDENCE

Investments should be made pursuant to the Prudent Man Rule, which provides a flexible legal investment standard that requires a fiduciary to make investments that a reasonable man of discretion and intelligence would choose to earn a reasonable level of income and to preserve the principal. Under this standard, a Reasonable Man is defined as one who exercises those qualities of attention, knowledge, intelligence and judgment which society requires of its members for the protection of their own interest and interests of others.

4.0 OBJECTIVES

The primary objectives, in priority order, of the City of Cheyenne investment actions shall be:

4.1 Safety: Safety of principal is the foremost objective of the investment program. Investments of the City shall be undertaken in a manner that seeks to ensure the preservation of capital in the overall portfolio. To attain this objective, diversification is required in order that potential losses on individual securities do not exceed the income generated from the remainder of the portfolio.

4.2 Liquidity: The City's investment portfolio will remain sufficiently liquid to enable the City to meet all cash flow requirements which are reasonably foreseeable.

4.3 Return on Investment: The City's investment portfolio shall be designed with the objective of attaining a reasonable rate of return throughout budgetary and economic cycles, taking into account the City's investment risk constraints and the cash flow characteristics of the portfolio.

4.4 Community Investment: The City's investment portfolio will be managed with a commitment toward the benefit of the community. To this end, investing in local institutions, domestic instruments, or through local brokers will be the preferred investment strategy. This strategy will be tempered with the City's fiduciary responsibility and policy of attaining a market rate of return.

5.0 MANAGEMENT RESPONSIBILITY

Management responsibility for the investment program is hereby delegated to the City Treasurer, who shall establish written procedures for the operation of the investment program consistent with this Investment Policy. Procedures should include reference to safekeeping, Public Securities Association (PSA) repurchase agreements, wire transfer agreements, collateral/depository agreements and banking service contracts. Such procedures shall include explicit delegation of authority to persons responsible for investment transactions.

No person may engage in an investment transaction except as provided under the terms of this Policy and the procedures established by the City Treasurer. The City Treasurer shall be responsible for all transactions undertaken and shall establish a system of controls to regulate investing activities.

6.0 INVESTMENT COMMITTEE

In order to facilitate direct communication to the Governing Body, an Investment Committee shall be established. The Committee shall be composed of:

1. Two members of the City Council appointed by the President of the City Council, one of whom shall serve as the Chairman of the Committee, for 2-year terms. Initially, one appointment will be for a 1-year term and the other for a 2-year term; thereafter, terms will be for 2 years.
2. The Mayor or designee (designee shall be a voting member of the Committee).
3. The City Treasurer
4. The Assistant City Treasurer (BOPU Administration Manager)
5. The City Attorney (or his designee) (non-voting)
6. Two non-City employees with financial expertise (non-voting) will be appointed by the Chairman of the Committee, for 2-year terms. Initially, one appointment will be for a 1-year term and the other for a 2-year term; thereafter, terms will be for 2 years.
7. Administrative Staff will be provided by the City Council Office.

The Investment Committee will meet on a quarterly basis or as needed at a time designated by the Investment Committee Chair. The Investment Committee shall review

investments at least quarterly. The purpose of the Investment Committee as it relates to the Investment Policy shall be:

1. The periodic review of and report on the City's investment activities;
2. The periodic review of the City's Investment Policy;
3. Review and comment on any amendments of the City's Investment Policy as proposed by the City Treasurer; and
4. Consider and make recommendations on other financial functions of the City.

7.0 ETHICS AND CONFLICTS OF INTEREST

Officers and employees involved in the investment process shall refrain from personal business activity that could conflict with proper execution of the Investment Policy, or which could impair their ability to make impartial investment decisions. Officers and employees shall not conduct any personal investment business with the same branch office of the firm through which the City conducts any investment activity. "Personal Investment Business" used here does not mean checking accounts, savings accounts, money market mutual funds, time deposits of five years or less, insurance products, or deferred compensation programs. Members of the Investment Committee employed by the City of Cheyenne shall disclose to the Mayor any material financial interests in financial institutions that conduct business within the jurisdiction, and shall further disclose any large personal financial/investment positions that could be related to the performance of the City's portfolio.

8.0 AUTHORIZED FINANCIAL DEALERS AND INSTITUTIONS

The City Treasurer will maintain a list of financial institutions, security broker/dealers and investment advisors (defined collectively as "investment service providers") authorized to provide investment-related services to the City. Each must be: (a) properly registered with their appropriate regulatory agency; (b) possess insurance, either through private or regulatory sources, satisfactory to the Investment Committee; (c) have a satisfactory record of past performance; and (d) are registered to do business in the State of Wyoming.

No public deposit shall be made except in a qualified public depository as established by Wyoming State Statutes 9-4-817 through 9-4-821, as amended.

All investment service providers, must supply the City Treasurer with some or all of the following:

1. Audited financial statements;
2. Proof of Financial Industry Regulatory Authority certification;
3. Trading resolution;
4. Proof of state registration;
5. Complete broker/dealer questionnaire;
6. Certification of having read the City's Investment Policy; and
7. Appropriate executed contracts.

A current audited financial statement may be required for each investment service provider with which the City invests.

9.0 AUTHORIZED AND SUITABLE INVESTMENTS

The City Treasurer is authorized to invest in those types of securities prescribed in Wyoming State Statutes 9-1-416 and 9-4-831 as amended, and any other state law authorizing such investments.

10.0 COLLATERALIZATION

In addition to the collateralization requirements found in Wyoming State Statutes 9-4-821 as amended, collateralization will also be required on the following types of investments:

1. Time deposits; and
2. Repurchase and reverse agreements.

In order to anticipate market changes, amounts of funds on deposits and provide an adequate level of security for all deposited funds, the collateralization level will be 105% or higher as required by law, of the higher of the par or market value of the deposits.

The market value of the deposits will include accrued interest.

The adequacy of the pledged collateral will be measured by the market or par value of the collateral, whichever is the lesser. Quarterly reports on the deposits and securities must be submitted to the City Treasurer and the Chair of the Investment Committee, and shall include the following:

1. Any accounts in a bank at the end of the quarter must be listed by due date, showing the principal amount, accrued interest and the interest rate; and
2. A listing of the securities pledged by the bank to cover the City's deposits. The list must include the type of security, the maturity date, the interest rate, the par value, the fair market value and the cusip number.

The City may collateralize time deposits and repurchase agreements using longer dated investments not to exceed ten years to maturity.

Authorized instruments for collateralization are those found in Wyoming State Statutes 9-4-821 as amended, with the following exceptions:

1. Conventional first mortgages.

11.0 SAFEKEEPING AND CUSTODY

Pledged collateral which are instruments of the United States Government and its agencies, will be safe kept by the Federal Reserve Bank. Other listed collateral that cannot be held by the Federal Reserve will be held by a non-affiliated, independent third party with whom the City has a current custodial agreement.

A clearly marked evidence of ownership (safekeeping receipt) must be supplied to the City and retained. The City must receive a safekeeping receipt on the same day as the

deposit is made. The right of collateral substitution upon prior notification and acceptance by the City is granted.

All security transactions, including collateral for repurchase agreement, entered into by the City shall be conducted on a delivery-versus-payment (DVP) basis.

12.0 DIVERSIFICATION

The City will diversify its instruments by security type and institution. With the exception of US Treasury securities, obligations or securities issued by or guaranteed by any federal government agency or instrumentality, certificates of deposits, and authorized pools, no more than 50% of the City's total investment portfolio will be invested in a single security type.

13.0 MAXIMUM MATURITY

To the extent possible, the City will attempt to match its investments with anticipated cash flow requirements.

The weighted average life of the City of Cheyenne 1-5 Year Short-Intermediate portfolio will not exceed four years. **14.0 ANNUAL AUDIT; INTERNAL CONTROL**

The City Treasurer may establish a process of annual independent review of the investment function by an external auditor. This review will provide internal control by assuring compliance with policies and procedures.

15.0 MARKET YIELD

The City's investment strategy is active. The City will generally purchase instruments with the intent of holding the investments until maturity. However, active management generally acknowledges that securities can be sold prior to maturity for a variety of reasons including, but limited to: improving portfolio diversification and/or yield, changing portfolio composition, etc.

Given this strategy, the basis used by the City Treasurer to determine whether reasonable yields are being achieved is if the rate of return on all average cash and investment balances is within 100 basis points (bps) below the lower of:

1. The average one year certificate of deposit rate of local depositories; or
2. The average annual earning rate of WYOSTAR as defined by Wyoming State Statutes 9-1-416.

16.0 PERFORMANCE BENCHMARK

Investment performance will be measured using "Total Rate of Return" measurement. This combines both the cash income and change in portfolio market value for all portfolio holdings to establish account performance.

The assets of the portfolio managed by external Managers shall be invested with the objective of producing the following respective rates of return:

1. The "Cash" portfolio shall be managed to exceed the existing benchmark for the WyoStar program. For cash portions of the portfolio not in WyoStar, the benchmark will be the Citigroup 3-Month Treasury Bill Index.
2. The City of Cheyenne 1-5 Year Short-Intermediate portfolio shall be managed to exceed the annualized total return of the Merrill Lynch 1-5 Year Government Index.

17.0 REPORTING

The City Treasurer is charged with the responsibility of including a market report on investment activity and returns in the City Treasurer's Financial Report on a monthly basis.

18.0 INVESTMENT POLICY ADOPTION

The City's Investment Policy shall be adopted by Resolution of the City's Governing Body. The Policy shall be reviewed at least annually by the Investment Committee and any modifications made thereto must be approved by the Governing Body.

STATEMENT OF INVESTMENT OFFICER OR ADVISOR

Pursuant to Wyoming State Statutes 9-4-831(h) as amended, the following Statement must be signed by any person who:

1. Effects any investment transaction on behalf of a political subdivision; or
2. Offers any investment to the governing of a political subdivision.

Pursuant to Wyoming State Statutes 9-4-831(h) as amended, and Section 8.0 of this Statement of Investment Policy of the City of Cheyenne, I hereby swear and affirm that I have read the Statement of Investment Policy of the City of Cheyenne, and that I agree to abide by applicable state law with respect to advice I give and the transactions I undertake on behalf of the City of Cheyenne."

Date:

By:

Signatory:

Print Name of Signatory

Print/Type Name of Firm

City of Cheyenne

APPENDIX B

FEE SCHEDULE

First \$25,000,000 at 15 basis points

Next \$25,000,000 at 10 basis points

Assets greater than \$50,000,000 at 8 basis points

Minimum annual revenue of \$37,500, billed quarterly